

- (d) Explain the functions of finance manager.
- (e) What is meant by the phrase “Present value of a future amount”?
- (f) Elucidate the relationship between NPV and IRR.

4. Attempt any **Two** of the following questions: **10 x 2 = 20**

(a) ABC Ltd. Is evaluating two mutually exclusive proposals :

	Project X	Project Y
Outlay	Rs. 40,000	Rs. 60,000
Annual net inflow	Rs. 15,000	Rs. 16,000
Life	4 Years	7 Years
Scrap value	Rs. 5,000	Rs. 3,000

Evaluate the proposals if the discount rate is 15 percent.

- (b) XYZ & Company buys an item costing Rs. 125 each in lots of 500 boxes which is a 3 month supply and the ordering cost is Rs. 150. The inventory carrying cost is estimated at 20% of unit value. What is the total annual cost of the existing inventory policy? How much money could be saved by employing the economic order quantity?
- (c) What are the techniques of control of receivables? Explain in detail.

5. Attempt any **Four** of the following questions: **5 x 4 = 20**

- (a) What is optimal credit policy?
- (b) What are the essentials of Walter's dividend model?
- (c) Explain Stable Dividend policy.
- (d) What do you mean by the Optimal Dividend policy?
- (e) What is “conservative approach” to working capital financing?
- (f) What are the objectives of cash management?



Roll No.

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M.B.A.**SECOND SEMESTER EXAMINATION, 2013-14****FINANCIAL MANAGEMENT**Time : **3 Hours**Total Marks : **100**

Note : (i) Attempt **ALL** questions.
(ii) Choices are given in each question set.

1. Attempt any **Two** of the following questions: **10 x 2 = 20**
 - (a) Explain wealth maximization and profit maximization objectives of financial management.
 - (b) Investment, Financing and Dividend decisions are all interrelated. Comment.
 - (c) What is the relevance of time value of money in financial management?

2. Attempt any **Two** of the following questions: **10 x 2 = 20**
 - (a) What do you mean by financial break even? How it is calculated?
 - (b) Critically examine the Net Income and Net operating Income approach to capital structure.
 - (c) Explain the capital structure decision from the point of view of minimization of risk.

3. Attempt any **Four** of the following questions: **5 x 4 = 20**
 - (a) What is home made Leverage?
 - (b) What is Explicit cost of capital?
 - (c) How the financial decision making involve risk-return trade-off?